

Cash Flow Ratios						
Sum of Non-cash and non-operating/CGFO	0.07	0.05	0.03	0.07	0.09	0.12
Total Operating Working Capital Changes	-9	-177	-172	-212	5	-145

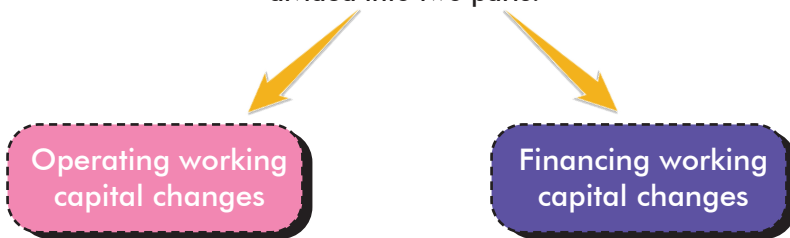
Here we can see that this ratio for the company is relatively low and therefore no further analysis is required. In case, this number was high, the company would typically have high re-investment requirements or high non-operating items. We would need to understand them in lot of detail had the numbers been high.

We have to see the **large numbers leading to differences in the cash flow and the income statement**. For example, if a company has high depreciation, it will lead to irregular investments. That will mean the above ratio being high leading to high Cash Flow from Operations and lower Cash Flow from Investing. We will learn about Cash flow from Investing going ahead.



Total Operating Working Capital Changes & Total Financing Working Capital Changes

The total working capital changes in the cash flow have been divided into two parts:



The company has been consuming a part of profits for operating working capital over the years which is generally the case with growing companies with positive working capital requirements. We will understand this with Working capital turnover ratios.

The company can take financial decisions around Financial Working Capital. We see that the company is generating capital from here. We need to understand the sources of this capital.

Here we mainly want to understand the working capital requirements of the company in different periods. Does every leg of growth require incremental working capital and how much? And can the company fund it from operations? We are looking for answers to these questions. We will understand these better when we look at balance sheet ratios.